

The Citizen Dividend & Secure Retirement Plan

A Universal Adult Dividend and High Old-Age Floor for the United States

Policy Paper

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Executive Summary

The United States is a rich country that behaves like a poor one.

We tell young people to “save for retirement” in a labor market built on precarity, student debt, and volatile asset prices. We tell older people to work longer in a system that already spends less on public pensions than most advanced economies. And we tell everyone to accept that the only options are:

1. **Raise the retirement age,**
2. **Cut benefits,** or
3. **“Let the market handle it.”**

This paper lays out a fourth option.

The Citizen Dividend & Secure Retirement Plan is a two-pillar reform that:

1. **Creates a Universal Adult Dividend (UAD):** A flat, unconditional monthly payment to

every adult citizen, paid in cash, no means-test attached.

2. **Transforms Social Security into Social Security Plus (SS+):** A strengthened system with:

- A **high universal floor** in old age (no one retires into poverty),
- **Improved benefits for low and middle earners,** and
- **No increase in the retirement age** and no across-the-board benefit cuts.

The plan is **paid for** by four progressive, easily understood tax changes:

1. **Eliminate the Social Security wage cap** (apply the 12.4% OASDI tax to all wages, without giving extra benefit credits above the current cap). ([Social Security](#))
2. **Impose a 0.2% Financial Transaction Tax (FTT)** on stock, bond, and derivative trades. ([Tax Foundation](#))
3. **Restore top individual income and capital gains rates to Clinton-era levels** for high earners. ([Eric Zwick](#))
4. **Set a 55% estate tax on estates above \$5 million,** with inflation indexing.

Together, these changes raise on the order of **2–3% of GDP in additional annual revenue**—hundreds of billions per year—enough to:

- **Close Social Security’s long-run funding gap** (currently about 3.5%

of taxable payroll or 1.5% of GDP),
([Social Security](#))

- Finance a **substantial increase in benefits for current and future retirees**, and
- Fund a **modest but real citizen dividend** for all adults.

The plan directly counters the narrative that “we have no choice” but to cut Social Security or push the retirement age to 69. It formalizes a simple moral claim:

If you live, work, and care for others in the United States, you are entitled to security in old age and a basic dividend from the prosperity you helped create.

I. The Problem: Insecurity by Design

Social Security’s projected shortfall

The 2024 Social Security Trustees report projects that:

- The combined retirement and disability trust funds (OASDI) will be **depleted around 2035** (recent commentary suggests this could be as early as 2033). ([Social Security](#))
- At that point, incoming payroll taxes will cover only **about 83% of scheduled benefits**, falling to around 73% by the end of the century. ([Social Security](#))
- The **75-year actuarial deficit is 3.50% of taxable payroll**,

equivalent to roughly **1.5% of GDP**.
([Social Security](#))

In plain language: without changes, we are on track for an **automatic, across-the-board benefit cut of ~20–25%** in the mid-2030s.

The broader precarity problem

The Social Security shortfall lands on top of:

- Stagnant real wages for many workers,
- Collapsing defined-benefit pensions,
- A gig-heavy labor market that makes long contribution histories harder,
- High and volatile housing and healthcare costs, and
- A generation of young adults who watched the 2008 crash and then 2020-2022 instability vaporize savings and job prospects.

Under this regime, “personal responsibility” really means **systemic risk privatized onto individuals**. People are told to hedge macroeconomic failure with their 401(k)s.

The result is not just economic strain; it is **political and psychological erosion**: anger, falling birth rates, declining trust, and a sense that the future is rigged.

II. Design Principles

The plan is built on a simple set of principles:

1. **Universality**: Everyone gets something, without stigma or means-testing bureaucracy.

2. **Reciprocity:** Benefits are framed as a dividend on participation in a shared project, not charity.
3. **Progressive Financing:** The wealthy and financial sector pay more, but the benefit side is universal.
4. **Intergenerational Fairness:** Today's young workers are not asked to finance promises for others while being told their own retirement will be delayed or cut.
5. **Simplicity and Transparency:** The flows are easy to explain: "Here is the tax, here is the benefit."
6. **No Raise in Retirement Age:** Longevity gains have been heavily skewed toward the top; raising the retirement age is a class-based benefit cut in disguise.

harmonized with
naturalization norms.

- **Benefit level (baseline scenario):**
 - **\$100 per month per adult, or \$1,200 per year**, indexed to **median wage growth**.
 - With ~252 million adults, total cost ≈ **\$300 billion per year** (about **1% of GDP**). ([Social Security](#))
- **Administration:**
 - Paid **monthly** by the **Social Security Administration** or Treasury, piggybacking on existing SSA/IRS direct deposit infrastructure.
 - Automatic enrollment via SSN, with opt-out only for people who *actively* renounce the payment.
- **Interaction with other programs:**
 - The UAD is **not counted as income** for means-tested benefits (SNAP, Medicaid, SSI, etc.) to avoid benefit cliffs.
 - Over time, as the dividend grows, policymakers could choose to rationalize overlapping programs—but that is **not** a prerequisite or hidden agenda here.

III. The Proposal: Two Pillars

Pillar 1 – Universal Adult Dividend (UAD)

Goal: Provide a modest, unconditional cash floor to every adult citizen, recognizing paid and unpaid contributions alike, and reducing the need for “precautionary savings” purely to survive.

Core design

- **Eligibility:**
 - All U.S. citizens **age 18 and over** residing in the United States.
 - Legal permanent residents become eligible after, e.g., **10 years of residency**,

Purpose

- Recognizes unpaid labor: caregiving, community work, cultural

work, local maintenance of social capital.

- Reduces the fear that one bad break—an illness, a layoff—means immediate catastrophe.
- Provides a visible, concrete **reward for citizenship** that younger generations can actually see and feel.

Pillar 2 – Social Security Plus (SS+)

Goal: Turn Social Security into a **high, universal old-age floor** with improved progressivity, while preserving its universal, earned-benefit character and avoiding retirement age hikes.

Key elements

1. No increase in the retirement age

- Full Retirement Age (FRA) remains where it is under current law.
- Early and delayed claiming options stay, but **no legislated move to 68 or 69.**

2. High minimum benefit (old-age floor)

- Establish a **minimum retirement benefit at at least 125% of the federal poverty line** for a single person with a full work history, maybe 100–110% for those with shorter histories.
- For 2025, the poverty guideline for a single person is around \$15,000–\$16,000; 125% is roughly

\$19,000–\$20,000/year, or about \$1,600/month.

([Congressional Budget Office](#))

- This minimum would be **wage-indexed** going forward.

3. Improved benefits for low and middle earners

- Adjust the Primary Insurance Amount (PIA) formula to be more generous at low and middle earnings, while keeping or slightly compressing benefits at very high earnings.

- Example approach:

- Increase the replacement rate in the first PIA bend point,
- Hold the second roughly constant,
- Slight downward tweak on the top bend for very high earners.

4. Caregiving credits

- Provide **earnings credits** (e.g., at half of median wage) for years spent in documented full-time caregiving (raising children under 5, caring for disabled or elderly relatives), up to a capped number of years.
- This recognizes that unpaid care is real work that should

not permanently depress retirement security.

5. **Strengthened survivor and disability benefits**

- Simplify and modestly **strengthen survivor benefits**, especially for widowed spouses in single-earner households.
- Preserve Disability Insurance (DI) with updated criteria reflecting modern labor conditions.

Cost

Relative to current law, SS+ under this design would increase annual Social Security outlays by something on the order of **0.3–0.5% of GDP** once fully phased in—roughly **\$100–150 billion per year** in today’s dollars, on top of closing the existing shortfall.

IV. Funding the Plan

1. The baseline gap

As noted, the 75-year actuarial deficit for Social Security is:

- **3.50% of taxable payroll, ≈ 1.5% of GDP** over the long run. ([Social Security](#))

We need to:

1. **Erase this gap**, and

2. **Add resources** for the higher minimum and progressive enhancements in SS+.

2. Revenue measures

(A) Eliminate the Social Security wage cap (E2.1 variant)

- Current law applies the 12.4% OASDI payroll tax only up to an annual earnings cap (about \$168,600 in 2024, slightly higher in 2025). ([Center on Budget and Policy Priorities](#))
- SSA’s actuarial scoring of **proposal E2.1** (“eliminate the taxable maximum, no extra benefit credit above the cap”) finds that it:
 - Improves the actuarial balance by **2.55% of taxable payroll** and
 - Closes roughly **two-thirds of the long-run shortfall**. ([Social Security](#))

Converted to dollars, that’s roughly **\$250–300 billion per year** in additional Social Security revenue under today’s economy.

(B) 0.2% Financial Transaction Tax (FTT)

- A 0.1% FTT on stocks, bonds, and derivatives is estimated by JCT/CBO to raise about **\$777 billion over 10 years**, or roughly **\$75–80 billion per year**, after modeling reduced trading. ([Tax Foundation](#))
- A **0.2%** rate will face more avoidance and lower volume, so revenue will be **less than double**,

but a conservative range is
\$120–160 billion per year.

Design choice: Dedicate all FTT revenues to the Social Security trust fund.

Symbolically and politically, this is powerful:

“We tax high-frequency trading on Wall Street to guarantee security for retirees on Main Street.”

(C) Restore Clinton-era top income & capital gains rates

- The top marginal rate in the 1990s was **39.6%**, vs lower effective rates after the 2001, 2003, and 2017 tax cuts. ([Bradford Tax Institute](#))
- Multiple analyses (CBO, CBPP, academic work) find that the cumulative effect of the Bush-era and later high-income tax cuts has reduced federal revenue by **roughly 1–2% of GDP** compared to a Clinton-like regime. ([Eric Zwick](#))

We do **not** need to restore the entire Clinton tax code, just:

- Return the **top brackets and capital gains rates** for high earners to 1990s levels,
- Close some high-end preferences and loopholes (e.g., carried interest, certain preferential treatment of capital gains).

A reasonable midpoint estimate is that this yields **\$200–300 billion per year** in additional revenue under current conditions.

(D) Estate tax: 55% above \$5 million

- Current estate & gift taxes raise only **tens of billions per year** (CBO baseline around **\$30–40B**), given very high exemptions and planning strategies. ([House Budget Committee](#))
- Returning to a **\$5M exemption** and a **55% top rate** on value above that threshold would:
 - Increase the number of taxable estates, and
 - Raise revenue relative to both current law and the “2009 rules” (which themselves would raise ~\$30–40B/year over current policy). ([Eric Zwick](#))

A realistic ballpark: total estate tax revenues in the **\$70–100B/year** range—so roughly **\$40–60B/year** above current law.

3. Putting it together

Approximate annual revenue from the “Beatrice Tax Package”:

- **Eliminate SS wage cap (E2.1) → \$260B**
- **0.2% FTT dedicated to SS → \$140B (midpoint)**
- **Clinton-style high-end income & capital gains → \$250B**
- **55% estate tax >\$5M → \$60B**

Total ≈ \$710 billion per year, with a plausible range **\$600–900B**.

Allocation in the baseline scenario:

1. **Social Security solvency + SS+ enhancements**

- Needed to close existing shortfall: roughly **1.5% of GDP, ≈ \$450–500B/year**. ([Social Security](#))
- Provided by:
 - **\$260B** from wage cap removal
 - **\$140B** from FTT to SS
 - **\$50–75B** in annual general fund transfer from the new high-end income + estate tax revenue

That yields **\$450–475B/year** in dedicated and semi-dedicated SS funding—enough to **eliminate the actuarial deficit** and finance a **modest SS+ benefit boost** (~\$100B/year).

2. Universal Adult Dividend (UAD)

- Remaining new progressive revenue: approximately **\$250–300B** per year in this baseline.
- Cost of a **\$1,200/year dividend per adult** (~\$100/month):
 - 252M adults × \$1,200 ≈ **\$300B/year**.

In other words: with cautious assumptions, the package supports:

- **Full Social Security solvency, plus a high old-age floor and enhanced benefits, and**

- **A \$100/month universal adult dividend.**

If additional revenue sources are added in the future—e.g., carbon fee-and-dividend, AI windfall taxes, or closing further tax expenditures—the dividend can be **ratcheted up** (e.g., to \$150 or \$200/month) without touching Social Security.

V. Why This Beats the “Standard” Fixes

1. Raising the retirement age

Raising the retirement age is just a **benefit cut in disguise**, and a regressive one:

- Longevity gains have been largest at the top of the income distribution; lower-income and physically demanding jobs see far less improvement.
- Asking people in manual work or service jobs to delay retirement hits exactly those for whom old age is already more precarious.

By contrast, SS+:

- Preserves the retirement age,
- Raises the floor, and
- Asks **high earners** (including those who have disproportionately enjoyed longevity gains) to contribute more via the removal of the cap and higher top tax rates.

2. Across-the-board benefit cuts

Across-the-board cuts ignore the fact that:

- Many retirees **already struggle** on current benefits, and
- The median American has nowhere near enough in private savings to backfill a 20–25% cut.

SS+ instead:

- Protects and improves the bottom and middle,
- Moderates only at the very top of the benefit schedule,
- Finances itself through targeted progressive revenues rather than broad benefit reductions.

3. Privatization / “let the market handle it”

We have already run this experiment:

- Moving from defined-benefit pensions to 401(k)-style defined-contribution plans shifted risk from institutions to individuals.
- The result is a retirement landscape dependent on market timing, financial literacy, and luck.

A **citizen dividend + SS+** framework recognizes that:

- **Markets are tools, not guarantors of dignity.**
 - It is appropriate for **some risks**—macroeconomic shocks, demographic change, longevity—to be pooled at the national level.
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VI. Distributional and Macro Effects

Distributional impact

Under this plan:

- **Bottom 90% of households** are net winners:
 - They receive the **UAD**,
 - Benefit disproportionately from the higher Social Security floor and improved PIA for low/mid earners, and
 - Pay relatively little of the new tax burden.
- **Top 1–2%** pay more:
 - They pay full OASDI on all wages,
 - Face higher top marginal and capital gains rates,
 - Pay higher estate tax on large bequests, and
 - Bear much of the incidence of the FTT.

The plan remains **universal** on the benefit side; this is not a “soak the rich to pay the poor” targeted transfer, but a **shared social dividend financed by progressive taxation**.

Macroeconomic effects

- The UAD and SS+ act as **automatic stabilizers**, supporting demand during downturns.
- By reducing fear of destitution in old age and providing a modest citizen dividend, the plan:

- Reduces the necessity for extreme precautionary saving,
- May encourage **family formation and higher fertility**, by making the financial calculus of having children less terrifying,
- Supports entrepreneurship (people are more likely to risk starting businesses when the floor is solid).

VII. Political and Narrative Strategy

For **progressives**:

- This is more than patching Social Security; it is a **universalist social contract**:
 - No means tests, no bureaucratic humiliation.
 - Recognition of unpaid labor and caregiving via UAD and caregiving credits.
 - A serious answer to inequality that doesn't abandon universalism.

For **populists**:

- The message writes itself:
 - **"Wall Street pays to guarantee Main Street's retirement."**
 - **"If you fight, work, and care for a family in this**

country, you earn a dividend."

- It's explicitly *not* technocratic austerity. It's a **reward for citizenship** and a way to calm generational anger.

For **fiscal hawks**:

- The plan **addresses Social Security's long-run shortfall head-on** with concrete revenue sources scored in the ballpark of the needed magnitude.
- It avoids massive new unfunded promises; every big benefit expansion is paired with explicit, durable funding streams.

This gives you something very important rhetorically:

Anyone advocating benefit cuts or retirement-age hikes can be asked, "Why that, when we've shown how to fully fund and improve the system by asking more of those who've gained the most from the last 40 years?"

VIII. Implementation & Phase-In

A plausible implementation timeline:

1. Year 1–2

- Pass the tax package:

- Eliminate the wage cap (phased in over 2–3 years if needed).
- Enact 0.2% FTT, dedicated to SS.
- Restore top income & capital gains rates.
- Implement the new estate tax schedule.
- As additional revenue sources are adopted (e.g., carbon fee and dividend, closing further tax expenditures, capturing AI windfalls), gradually increase the UAD amount and/or further strengthen SS+.

- Begin small **general fund transfers** to stabilize the SS trust fund trajectory.

2. Year 3

- Launch **Universal Adult Dividend** at **\$50/month**, ramping to **\$100/month** by Year 5 as revenues come online and FTT collections stabilize.
- Begin phase-in of **SS+ minimum benefit** and PIA adjustments for new retirees.

3. Year 5–10

- Complete SS+ enhancements for both new and existing beneficiaries.
- Lock in **automatic indexation rules**:
 - UAD indexed to median wages (with a floor at inflation).
 - SS+ floor indexed to wages, not prices, to avoid erosion.

4. Beyond Year 10

IX. Conclusion: A Real Reward for Citizenship

The Citizen Dividend & Secure Retirement Plan is not utopian. It is **arithmetic plus values**.

- **Arithmetic:** We know the size of the Social Security gap (~1.5% of GDP). We know what eliminating the wage cap does (closes ~two-thirds). We know what a modest FTT and higher top rates can raise. These are all within the normal range of historical U.S. tax policy. ([Social Security](#))
- **Values:** Instead of defaulting to austerity (work longer, get less), we choose:
 - A **universal adult dividend** that recognizes everyone's contribution to the national project, and
 - A **high old-age floor** that treats security in retirement as a right of citizenship.

Is this the final form of what you imagined—max Social Security benefit for every citizen, from cradle to grave? Not yet. Under current constraints, that would

require transforming half the economy into cash transfers.

But this plan **moves decisively in that direction**:

- It makes old-age insecurity a policy choice, not a given.
- It gives every adult a visible, unconditional dividend.
- It ties prosperity for the many to responsibility for the few who benefitted most from the last four decades.

Most importantly, it **obliterates the excuse** that “we have no alternative” to cutting Social Security or raising the retirement age. There *is* an alternative. Here it is, line by line.